

Class 12 Accountancy: Dissolution of a Partnership Firm

Complete Comprehensive Revision & Board Exam Master Notes (CBSE / ISC / State Boards)

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1. Meaning and Legal Framework (Indian Partnership Act, 1932)

NOTE: Board Exam Golden Rule: Dissolution of Firm ALWAYS involves dissolution of partnership, but dissolution of partnership DOES NOT necessarily lead to dissolution of firm.

2. Comparison: Dissolution of Partnership vs. Dissolution of Firm

3. Modes of Dissolution of Firm (Sections 40 to 44)

4. Settlement of Accounts: Section 48 Rules

NOTE: Critical Priority: Third-Party Creditors MUST be paid before Partner's Loan. Partner's Loan MUST be paid before Partner's Capital!

5. Accounting Treatment & Realisation Account

6. Master Journal Entries on Dissolution

7. Settlement of Partner's Loan & Final Accounts

8. Board Exam High-Yield Tips & Common Traps

NOTE: Exam Success Metric: If Cash/Bank account tallies at the end, your Realisation A/c, Partner's Capital A/c, and Partner's Loan A/c entries are 100% correct!

